

CAG

DEMOCRATIC AUDIT PURPOSE AND → ARTICLE 148 OFFICE: APPOINTMENT → ARTICLES 149-151, THE DPC → AUDIT DOMAIN: PUBLIC FUNDS → FINANCIAL, COMPLIANCE, PROPRIETY, PERFORMANCE → COMPANIES, CORPORATIONS, PPPS, REGULATORS

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • active generation g2 repaired in place for answer-line and visual-boundary quality • all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

00

STAGE 00 DEMOCRATIC AUDIT PURPOSE AND THE CONSTITUTION-TO-REPORT ACCOUNTABILITY CHAIN

DEMOCRATIC AUDIT PURPOSE AND THE CONSTITUTION-TO-REPORT ACCOUNTABILITY CHAIN ROOT QUESTION HOW DOES THE LEGISLATURE VERIFY EXECUTIVE USE OF PUBLIC AUTHORITY CHAIN LEGISLATURE AUTHORISES TAX AND APPROPRIATION EXECUTIVE COLLECTS, SPENDS AND KEEPS RECORDS

INDEPENDENT CAG AUDITS EVIDENCE PRESIDENT/GOVERNOR CAUSES REPORT TO BE LAID PAC/COPU OR LEGISLATURE SCRUTINISES

ROOT QUESTION

How does the legislature verify executive use of public money?

AUTHORITY CHAIN legislature authorises tax and appropriation

executive collects, spends and keeps records

CONSTITUTIONAL BASIS / ARTICLE

- ROOT QUESTION
- How does the legislature verify executive use of public money?
- AUTHORITY CHAIN legislature authorises tax and appropriation

POWER / PROCEDURE

- executive collects, spends and keeps records
- independent CAG audits evidence
- President/Governor causes report to be laid

CHECK / LIMIT

- PAC/CoPU or legislature scrutinises
- executive replies and corrects.
- SOURCE LADDER

FEDERAL / RIGHTS IMPACT

- Articles 148-151 → CAG DPC Act, 1971
- entity-specific law → Audit Regulations/Standards → judicial interpretation.
- LIMIT audit informs democratic control; it does not govern, prosecute or recover by itself.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Performance audit examines preparation/implementation and whether objectives were achieved; official guidance says it does not question legislative intentions and decisions as such.

01

STAGE 01 ARTICLE 148 OFFICE: APPOINTMENT, OATH, TENURE, REMOVAL AND INDEPENDENCE

ARTICLE 148 OFFICE APPOINTMENT, OATH, TENURE, REMOVAL AND INDEPENDENCE PRESIDENT BY WARRANT UNDER HAND AND SEAL OATH BEFORE PRESIDENT OR NOMINEE IN THIRD SCHEDULE FORM. DPC ACT, SECTION 4 SIX YEARS OR AGE 65 REMOVAL SAME MANNER AND GROUNDS AS A SUPREME COURT

PROVED MISBEHAVIOUR OR INCAPACITY + SPECIAL-MAJORITY ADDRESS. INDEPENDENCE SAFEGUARDS SERVICE CONDITIONS NOT VARIED TO DISADVANTAGE NO

President by warrant under hand and seal.

OATH before President or nominee in Third Schedule form.

TENURE: DPC ACT, SECTION 4 six years or age 65, whichever earlier; resignation addressed to

REMOVAL same manner and grounds as a Supreme Court Judge

proved misbehaviour or incapacity + special-majority address.

CONSTITUTIONAL BASIS / ARTICLE

- President by warrant under hand and seal.
- OATH before President or nominee in Third Schedule form.

POWER / PROCEDURE

- TENURE: DPC ACT, SECTION 4 six years or age 65, whichever earlier; resignation addressed to President.
- REMOVAL same manner and grounds as a Supreme Court Judge

CHECK / LIMIT

- proved misbehaviour or incapacity + special-majority address.
- INDEPENDENCE SAFEGUARDS service conditions not varied to disadvantage no further Union/State government office

FEDERAL / RIGHTS IMPACT

- IAAD administration after consultation office expenses charged on Consolidated Fund of India.
- LIMIT appointment has no constitutional collegium and post-audit impact depends on follow-up.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: A "six-year term" is a maximum subject to the age ceiling, resignation, removal or other lawful demission; it is not an unconditional six-year guarantee in every case.

02

STAGE 02 ARTICLES 149-151, THE DPC ACT AND THE AUDIT-VERSUS-ACCOUNTS BOUNDARY

ARTICLES 149-151, THE DPC ACT AND THE AUDIT-VERSUS-ACCOUNTS BOUNDARY ARTICLE 149 CONSTITUTIONAL GATEWAY PARLIAMENT PRESCRIBES DUTIES AND POWERS. ARTICLE 150 PRESIDENT PRESCRIBES FORM OF UNION/STATE ACCOUNTS ON CAG ADVICE. ARTICLE 151 UNION REPORT

BOTH HOUSES.

ARTICLE 149 constitutional gateway → Parliament prescribes duties and powers.

CONSTITUTIONAL BASIS / ARTICLE

- ARTICLE 149 constitutional gateway → Parliament prescribes duties and powers.
- ARTICLE 150
- President prescribes form of Union/State accounts on CAG advice.
- ARTICLE 151

POWER / PROCEDURE

- Union report → President → both Houses.
- State report → Governor → State legislature.
- DPC ACT, 1971
- Sections 10-12 accounts role where retained

CHECK / LIMIT

- 13-18 audit and access
- 19-20 companies/corporations/trusted audits
- 23-24 regulations and scope.
- AUDITOR, NOT UNIVERSAL COMPTROLLER predominantly ex-post review; no routine pre-authorisation of each withdrawal.

FEDERAL / RIGHTS IMPACT

- ACCOUNTS LIMIT departmentalisation and State arrangements mean CAG does not compile every account.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: "Submitted to the President/Governor" does not mean the CAG may bypass them and lay the report directly in the House.

03

STAGE 03 AUDIT DOMAIN: PUBLIC FUNDS, EXPENDITURE, RECEIPTS, GRANTS AND ACCESS

AUDIT DOMAIN PUBLIC FUNDS, EXPENDITURE, RECEIPTS, GRANTS AND ACCESS PUBLIC ACCOUNT DOMAINS CONSOLIDATED FUND AUTHORISED REVENUE/EXPENDITURE. CONTINGENCY FUND URGENT ADVANCES UNDER LAW. PUBLIC ACCOUNT

PUBLIC ACCOUNT DOMAINS

Consolidated Fund → authorised revenue/expenditure.

Contingency Fund → urgent advances under law.

Public Account → provident funds, small savings and other trust-like receipts.

DPC ACT ROUTES

CONSTITUTIONAL BASIS / ARTICLE

- PUBLIC ACCOUNT DOMAINS
- Consolidated Fund → authorised revenue/expenditure.
- Contingency Fund → urgent advances under law.
- Public Account → provident funds, small savings and other trust-like receipts.

POWER / PROCEDURE

- DPC ACT ROUTES
- Section 13 expenditure
- Section 14 substantially financed bodies
- Section 15 grants/loans

CHECK / LIMIT

- Section 16 receipts
- Section 17 stores/stock
- Section 18 records, inspection and information.
- JURISDICTION TEST identify entity → identify public-money/revenue nexus

FEDERAL / RIGHTS IMPACT

- identify statutory route → define scope → obtain records → audit evidence.
- LIMIT public importance alone does not create jurisdiction; legal nexus and proportionate scope matter.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: The CAG does not choose the elected government's policy, sanction each payment, prosecute an official or order recovery merely by issuing a report.

04

STAGE 04 FINANCIAL, COMPLIANCE, PROPRIETY, PERFORMANCE, ENVIRONMENT AND IT AUDIT

FINANCIAL, COMPLIANCE, PROPRIETY, PERFORMANCE, ENVIRONMENT AND IT AUDIT FINANCIAL AUDIT FAIR PRESENTATION AND SUFFICIENT APPROPRIATE EVIDENCE. COMPLIANCE AUDIT LAW, RULE, SANCTION, CONTRACT AND AUTHORITY. PROPRIETY AUDIT WISDOM, FAITHFULNESS, ECONOMY AND AVOIDANCE OF WASTE PERFORMANCE AUDIT ECONOMY RECEIPTS AUDIT ASSESSMENT, COLLECTION AND PROPER ALLOCATION OF PUBLIC THEMATIC AUDIT SPECIALISED SUBJECT OR METHOD WITHIN THE WIDER POLICY BOUNDARY

CONSTITUTIONAL BASIS / ARTICLE

FINANCIAL AUDIT fair presentation and sufficient appropriate evidence.

COMPLIANCE AUDIT law, rule, sanction, contract and authority.

PROPRIETY AUDIT wisdom, faithfulness, economy and avoidance of waste or improper discretion.

POWER / PROCEDURE

PERFORMANCE AUDIT economy → efficiency → effectiveness.

RECEIPTS AUDIT assessment, collection and proper allocation of public revenue.

IT / ENVIRONMENT / THEMATIC AUDIT specialised subject or method within the wider mandate.

CHECK / LIMIT

POLICY BOUNDARY

CAG may test authority, design implementation, prudence and results

it should not substitute its preferred lawful policy merely because another choice was possible.

FEDERAL / RIGHTS IMPACT

PERFORMANCE AUDIT economy → efficiency → effectiveness.

CONSTITUTIONAL BASIS / ARTICLE

- FINANCIAL AUDIT fair presentation and sufficient appropriate evidence.
- COMPLIANCE AUDIT law, rule, sanction, contract and authority.
- PROPRIETY AUDIT wisdom, faithfulness, economy and avoidance of waste or improper discretion.

POWER / PROCEDURE

- PERFORMANCE AUDIT economy → efficiency → effectiveness.
- RECEIPTS AUDIT assessment, collection and proper allocation of public revenue.
- IT / ENVIRONMENT / THEMATIC AUDIT specialised subject or method within the wider mandate.

CHECK / LIMIT

- POLICY BOUNDARY
- CAG may test authority, design implementation, prudence and results
- it should not substitute its preferred lawful policy merely because another choice was possible.

FEDERAL / RIGHTS IMPACT

- PERFORMANCE AUDIT economy → efficiency → effectiveness.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Section 20 allows audit of certain otherwise unaudited bodies/authorities when entrusted by the President, Governor or Administrator after consultation and subject to agreed terms, public interest and opportunity to represent.

05

STAGE 05 COMPANIES, CORPORATIONS, PPPS, REGULATORS AND LOCAL-BODY AUDIT ROUTES

COMPANIES, CORPORATIONS, PPPS, REGULATORS AND LOCAL-BODY AUDIT ROUTES GOVERNMENT COMPANY CAG APPOINTS STATUTORY AUDITOR UNDER COMPANIES ACT SECTION 139 DIRECTIONS UNDER SECTION 143(5) SUPPLEMENTARY AUDIT/COMMENTS/TEST AUDIT UNDER SECTIONS 143(6)-(7). STATUTORY CORPORATION GOVERNING LAW + DPC ACT SECTION 19 OTHER BODY REGULATED ENTITY

GOVERNMENT COMPANY

CAG appoints statutory auditor under Companies Act Section 139

directions under Section 143(5)

supplementary audit/comments/test audit under Sections 143(6)-(7).

CONSTITUTIONAL BASIS / ARTICLE

- GOVERNMENT COMPANY
- CAG appoints statutory auditor under Companies Act Section 139
- directions under Section 143(5)
- supplementary audit/comments/test audit under Sections 143(6)-(7).

POWER / PROCEDURE

- STATUTORY CORPORATION governing law + DPC Act Section 19 route.
- OTHER BODY / PPP / REGULATED ENTITY
- Sections 14, 15, 16 or 20 only where legal public-finance nexus exists.
- LOCAL BODIES

CHECK / LIMIT

- State law and entrustment vary; CAG may provide Technical Guidance and Support.
- This is not one uniform constitutional municipal/Panchayat audit model.
- Association of Unified Telecom Service Providers of India v.
- Union of India (2014) audit may follow Union revenue share from a public-resource licence

FEDERAL / RIGHTS IMPACT

- it is not universal private-company audit power.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Government-company audit layers statutory auditors with CAG appointment, directions and supplementary audit, balancing corporate form with public accountability.

06

STAGE 06 REPORT LAYING, PAC AND COPU: CONVERTING AUDIT INFORMATION INTO ACCOUNTABILITY

REPORT LAYING, PAC AND COPU CONVERTING AUDIT INFORMATION INTO ACCOUNTABILITY UNION CHAIN CAG REPORT LAID BEFORE PARLIAMENT RELEVANT COMMITTEE MINISTRY EVIDENCE COMMITTEE FINDING

UNION CHAIN

CAG report → President → laid before Parliament

PAC / CoPU / relevant committee → ministry evidence

committee finding → action-taken response → correction.

CONSTITUTIONAL BASIS / ARTICLE

- UNION CHAIN
- CAG report → President → laid before Parliament
- PAC / CoPU / relevant committee → ministry evidence

POWER / PROCEDURE

- committee finding → action-taken response → correction.
- STATE CHAIN
- CAG report → Governor → State legislature → State PAC/committee scrutiny.

CHECK / LIMIT

- PAC appropriation accounts + finance accounts + relevant CAG reports.
- COPU public-undertaking reports/accounts + related CAG reports.
- CAG ROLE technical evidence and assistance; not committee member or final political decision-maker.

FEDERAL / RIGHTS IMPACT

- CAG paragraph != PAC conclusion != court judgment != automatic recovery order.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: The chain is complete only when ministries provide action-taken notes, accepted recommendations are implemented, systemic controls change and unresolved issues return to legislative scrutiny.

07

STAGE 07 JUDICIAL CONTROLS: PERFORMANCE, TIMING, REPORT STATUS AND REVENUE-SHARE ACCESS

JUDICIAL CONTROLS PERFORMANCE, TIMING, REPORT STATUS AND REVENUE-SHARE ACCESS ARVIND GUPTA (2012) PERFORMANCE AUDIT AND THE THREE ES S. SUBRAMANIAM BALAJI (2013) CAG EXAMINES LEGALITY, VALIDITY AND PROPRIETY AFTER EXPENDITURE. ARUN KUMAR AGRAWAL (2013)

CAG REPORT DESERVES RESPECT BUT REMAINS SUBJECT TO LEGISLATIVE/PAC

IT DOES NOT AUTOMATICALLY PROVE THE FINAL BASIS FOR

CONSTITUTIONAL BASIS / ARTICLE

- Arvind Gupta (2012) performance audit and the three Es are in-built in the DPC Act.
- S. Subramaniam Balaji (2013)
- CAG examines legality, validity and propriety after expenditure.

POWER / PROCEDURE

- Arun Kumar Agrawal (2013)
- CAG report deserves respect but remains subject to legislative/PAC scrutiny
- it does not automatically prove the final basis for judicial relief.

CHECK / LIMIT

- Association of Unified Telecom Service Providers of India v.
- Union of India (2014) revenue-share audit access follows the public-resource and Consolidated-Fund nexus.
- SYNTHESIS broad audit methods + ex-post timing + evidentiary public report

FEDERAL / RIGHTS IMPACT

- no automatic adjudicatory finality.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CAG jurisdiction may follow public money or public revenue into a non-departmental entity, but its scope must remain tied to the statutory nexus that brought the entity within audit.

08

STAGE 08 CAG-CGA-FINANCE COMMISSION-PAC COMPARISON, REFORM AND ANSWER SYNTHESIS

CAG-CGA-FINANCE COMMISSION-PAC COMPARISON, REFORM AND ANSWER SYNTHESIS CAG CONSTITUTIONAL INDEPENDENT AUDIT AND LEGISLATIVE REPORTING. CGA EXECUTIVE ACCOUNTING AND FINANCIAL-INFORMATION SYSTEM FOR UNION CIVIL FINANCE COMMISSION

ARTICLE 280 TRANSFER RECOMMENDATIONS; CAG CERTIFIES NET PROCEEDS UNDER COPU LEGISLATIVE SCRUTINY; COMMITTEES MAKE PARLIAMENTARY FINDINGS AND SEEK REFORM SECURE DATA ACCESS + AUDIT-READY DIGITAL SYSTEMS + PPP/REGULATOR CLARITY + STRONGER LOCAL AUDIT + TIMELY REPORTS

CAG constitutional independent audit and legislative reporting.

CGA executive accounting and financial-information system for Union civil ministries.

FINANCE COMMISSION

Article 280 transfer recommendations; CAG certifies net proceeds under Article 279.

PAC / COPU legislative scrutiny; committees make parliamentary findings and seek action.

CONSTITUTIONAL BASIS / ARTICLE

- CAG constitutional independent audit and legislative reporting.
- CGA executive accounting and financial-information system for Union civil ministries.
- FINANCE COMMISSION
- Article 280 transfer recommendations; CAG certifies net proceeds under Article 279.
- PAC / COPU legislative scrutiny; committees make parliamentary findings and seek action.

POWER / PROCEDURE

- REFORM secure data access + audit-ready digital systems + risk analytics
- PPP/regulator clarity + stronger local audit + timely reports
- action-taken tracking + legislative research capacity.
- PRELIMS FIREWALL
- Article 148 office

CHECK / LIMIT

- 149 statutory duties
- 150 President on CAG advice
- 151 report route
- six years/65 from DPC Act
- audit != investigation.

FEDERAL / RIGHTS IMPACT

- MAINS SPINE independence → legal mandate → audit type/entity route → report chain
- limitation → digital/access reform → evidence-led accountability verdict.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Reform should strengthen mandate clarity, evidence access and legislative consequence without turning the CAG into an alternate executive.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT THE BIG PICTURE PART A — APPOINTMENT, TERM & REMOVAL PART B — INDEPENDENCE PART C — DUTIES & POWERS (ART 149-151) PART D — ROLE, TYPES OF AUDIT & LIMITATIONS SECURITY OF TENURE (REMOVED ONLY BY THE CONSTITUTIONAL PROCEDURE). NOT ELIGIBLE FOR ANY FURTHER OFFICE UNDER THE CENTRE

OPTIONAL DOCTRINE / CASE

- THE BIG PICTURE
- PART A — APPOINTMENT, TERM & REMOVAL
- PART B — INDEPENDENCE
- PART C — DUTIES & POWERS (Art 149-151)

ADVANCED LIMIT

- PART D — ROLE, TYPES OF AUDIT & LIMITATIONS
- Security of tenure (removed only by the constitutional procedure).
- NOT eligible for any further office under the Centre or a state after his term (stricter than UPSC).
- Salary = a Supreme Court judge; determined by Parliament; can't be varied to disadvantage.

COMPARATIVE NUANCE

- Salaries/expenses of the CAG's office are charged on the Consolidated Fund of India (non-votable).
- No minister can represent the CAG in Parliament or take responsibility for his actions.
- All expenditure from the Consolidated Fund of India / states / UTs-with-legislature.
- Contingency Fund & Public Account of India and states.

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.